

Daily Market Report

Thursday, June 11, 2026 — After Market Close | Singapore

SECTION 1 — Market Summary

Index	Closing Price	Day	1 Week	1 Month	1 Year	52W High	52W Low
S&P 500 (SPY)	725.43	-1.58%	-3.82%	-1.88%	+22.39%	759.57	592.71
Nasdaq 100 (QQQ)	693.69	-2.00%	-6.79%	-2.75%	+32.58%	746.16	523.21
VIX	19.87	+5.02%	+26.00%	+8.11%	+8.22%	31.05	13.47

US equities extended their multi-day slide on Thursday June 11 as the S&P 500 (SPY) fell -1.58% and the Nasdaq 100 (NDX/ QQQ) dropped -2.0%, pressured by escalating US-Iran military strikes and a hotter-than-expected May CPI print that reinforced 'higher-for-longer' Fed fears. The NDX is now down -6.79% on the week and -7.75% from its 52-week high of 746.16, with tech and semiconductor names bearing the brunt of selling amid rotation into defensive sectors.

SECTION 1B — Early Warning

Signal	Status	What It Means
VIX (fear gauge)	GREEN	19.9 — calm
Breadth (sectors up)	RED	4/11 sectors green — narrow
S&P vs 50-day avg	GREEN	+0.8% vs trend
Consumer confidence	GREY	N/A — set manually in config
10Y Treasury yield	AMBER	4.53%

Overall: CAUTION

SECTION 2 — Stock Spotlights

Micron Technology (MU)

Metric	Value
Closing Price	891.88
Day Change	-4.70%
52W High	1079.57
52W Low	98.18
P/E Ratio	42.2
Dividend Yield	6.0%
Analyst View	strong_buy
Analyst Target	\$776.23 (S&P Global consensus, 44 analysts, June 2026)
Next Earnings	Jun 24, 2026
Beta (1Y)	2.85

HOLD — At \$891.88, MU trades well above the S&P Global consensus analyst target of ~\$776 (44 analysts, Strong Buy consensus, June 2026), though the TipRanks average of \$939 provides slim upside; the stock has surged +808% over the past year on the back of an AI-driven HBM supercycle, with FQ2 revenue of \$23.86B (+196% YoY) and net income of \$13.79B setting all-time records. The risk is that at a P/E of 42.2x and beta of 2.85, any wobble in the AI memory demand narrative or macro headwinds from US-Iran oil inflation could trigger a sharp drawdown toward the 52-week low range of \$98; with earnings due June 24, 2026, near-term volatility is elevated.

SECTION 3 — Watchlist

Ticker	Company	Price	Day	1 Week	1 Month	1 Year	52W Low	52W High	Beta
NVDA	Nvidia	200.42	-3.73%	-6.67%	-8.67%	+45.89%	137.38	235.74	1.84

AMD	AMD	452.4	-4.86%	-16.61%	-1.39%	+294.66%	114.63	542.52	2.81
AVGO	Broadcom	372.1	-5.12%	-22.35%	-13.15%	+49.61%	244.28	481.57	2.1
GOOGL	Alphabet	356.38	-2.16%	-0.73%	-8.30%	+110.84%	165.19	402.62	1.31
IBM	IBM	272.36	-1.85%	-10.89%	+21.83%	+3.21%	214.64	329.23	1.1
MSFT	Microsoft	397.36	-1.50%	-7.02%	-3.71%	-13.99%	356.77	542.07	0.87
INTC	Intel	107.04	-0.82%	-5.03%	-17.31%	+442.25%	19.31	129.44	2.48
C	Citigroup	133.38	-1.00%	+2.66%	+5.98%	+75.96%	75.8	135.15	1.41
QRVO	Qorvo	95.0	-3.00%	-9.29%	+1.70%	+24.39%	76.02	108.23	1.21
ANET	Arista Networks	151.76	-0.26%	-12.97%	+11.24%	+69.04%	86.25	177.73	2.08
WQTM	Quantum ETF (WQTM)	35.13	-1.72%	-11.60%	-1.07%	+15.98%	23.32	41.31	2.38
GFS	GlobalFoundries	74.82	-0.58%	-12.99%	-0.23%	+108.30%	31.62	89.96	1.98

SECTION 4 — Why Markets Moved

Thursday's session saw the S&P 500 shed another -1.58% and the Nasdaq 100 fall -2.0%, continuing a week-long tech-led rout that has now taken QQQ down -6.79% in five sessions. The session was dominated by two macro shocks: overnight US airstrikes on Iran for a second consecutive day following the downing of an Apache helicopter, and a May CPI print that came in hotter than expected, with energy prices — inflated by the protracted Iran war — as the primary driver of inflation running at its highest level in three years.

The dual headwind of geopolitical risk and sticky inflation is particularly toxic for high-multiple technology stocks, which depend on low discount rates to justify future earnings valuations. West Texas Intermediate crude surged as much as 2.7% to \$92.45 a barrel on the new Iran strikes, feeding directly into CPI and raising fears that the Fed — which meets next week — has no room to cut and may even need to contemplate hikes. With May non-farm payrolls having already delivered a shock 172,000 print (consensus: 80,000) partly driven by World Cup hiring, the 10Y Treasury yield remained elevated at 4.53%, compressing tech equity valuations. Adobe's Q2 FY2026 earnings after today's close added to intraday uncertainty in software names.

For retail investors in Singapore, the key message is that the 'rotation' away from AI-heavy NDX names into defensive sectors (Consumer Staples +1.65%, Energy +1.50%) is not random — it reflects a structural repricing of the risk-free rate and geopolitical premium, not a collapse in AI earnings fundamentals. Micron's upcoming June 24 earnings are the next major read on whether the AI memory supercycle remains intact; IBM's strong +21.83% monthly gain suggests enterprise AI adoption is broadening beyond hyperscalers. Investors should distinguish between temporary macro pain (Iran, CPI) and permanent impairment of AI earnings — the former argues for patience and selective accumulation on dips, while positioning in lower-beta names (IBM beta 1.10, GOOGL beta 1.31) offers a more defensive entry.

SECTION 5 — Sector Rotation & Macro

Winners

- Consumer Staples: **+1.65%**
- Energy: **+1.50%**
- Utilities: **+0.05%**

Losers

- Materials: **-2.30%**
- Industrials: **-3.38%**

Macro

- US-Iran military escalation is the dominant macro risk: overnight strikes pushed WTI crude to ~\$92/barrel, embedding an energy inflation premium that is directly feeding CPI and threatening to keep the Fed on hold or tighter for longer — the FOMC meets June 16-17, and rate cut expectations for 2026 have nearly vanished.
- May CPI hit its highest level in three years, with energy the primary driver; May PPI released today provides the final inflation data point before the Fed meeting, and any upside surprise will further pressure bond markets and high-multiple tech stocks with the 10Y yield already at 4.53%.
- Market breadth remains dangerously narrow: only 4 of 11 S&P 500 sectors are in the green this week, with the Goldman Sachs Risk Appetite Indicator sitting at the 99th percentile of all observations since 1991 — a historically stretched positioning that leaves the market vulnerable to disappointment if AI earnings or geopolitical developments disappoint.

SECTION 6 — Earnings Calendar

Watchlist stocks verified. Broader NDX dates sourced via web search — confirm before trading.

Company	Ticker	Next Earnings	
Micron Technology	MU	Jun 24, 2026	WATCHLIST
Adobe	ADBE	Jun 11, 2026	
Lennar	LEN	Jun 11, 2026	
Kroger	KR	Jun 19, 2026	
FedEx	FDX	Jun 19, 2026	
Accenture	ACN	Jun 19, 2026	
Nike	NKE	Jun 26, 2026	
Paychex	PAYX	Jun 25, 2026	
General Mills	GIS	Jun 25, 2026	
Constellation Brands	STZ	Jun 26, 2026	

SECTION 6B — Opportunity Radar

- **AI Memory Supercycle Dip-Buy** — Micron posted FQ2 revenue of \$23.86B (+196% YoY) with 58% profit margins and its entire 2026 HBM supply sold out — yet the stock is -17% off its 52-week high and trading near the S&P Global consensus target of \$776; the June 24 earnings event is a catalyst to re-rate higher if Q3 guidance confirms the supercycle is intact. (e.g. MU)
- **Defensive Rotation into Low-Beta Quality Compounders** — With 7 of 11 S&P sectors in the red this week and Goldman's Risk Appetite Indicator at the 99th percentile, investors are rotating into low-volatility names with durable earnings; IBM (beta 1.10) is up +21.83% this month on enterprise AI adoption, while Alphabet (beta 1.31) is only down -0.73% on the week despite the broad tech rout — both offer AI exposure without semiconductor cycle risk. (e.g. IBM)
- **Network Infrastructure Pullback Creates Entry** — Arista Networks is down -12.97% this week despite Morningstar identifying it as undervalued and a technology leader in high-speed switching — the AI data centre buildout structurally drives demand for next-gen networking, and at \$151.76 (52-week low \$86.25, high \$177.73) it has recovered strongly from lows with +69% 1-year gains; a further pullback toward \$140 would represent a compelling risk/reward. (e.g. ANET)

Given the CAUTION signal from the early warning dashboard — with breadth RED (only 4/11 sectors green), the 10Y yield AMBER at 4.53%, and the VIX rising +5.02% today to 19.87 — investors should adopt a selective, quality-first posture rather than broad-based buying. The S&P 500 remains modestly above its 50-day moving average (+0.8%) and the VIX at 19.87 has not yet signalled panic (below 25), meaning this is a correction within a bull market rather than a systemic breakdown; avoid panic selling of high-quality AI names with strong earnings. Instead, use this week's -6.79% NDX pullback to add selectively to lower-beta compounders (IBM, GOOGL, C) that have held better, reduce exposure to high-beta cyclical chips (AVGO -5.12% today, beta 2.1; AMD -4.86% today, beta 2.81) until the Iran/CPI picture clarifies, and maintain a cash buffer of 10-15% to redeploy if VIX spikes above 25 on the forthcoming Fed meeting or a further Iran escalation.

SECTION 7 — Stocks to Watch

GOOGL | Price: \$356.38 | **BUY** | Horizon: 5-YEAR

Alphabet at \$356.38 is down only -0.73% this week (beta 1.31) and has doubled (+110.84%) in the past year, demonstrating defensive resilience in a risk-off environment while its AI and cloud businesses compound strongly; the 52-week low of \$165.19 versus today's price underscores the multi-year uptrend, and at a 1-year forward P/E well below its NDX peers, it offers AI exposure at a relative discount. BUY on any further pullback toward \$340 for a 5-year hold targeting Gemini-driven cloud revenue acceleration.

C | Price: \$133.38 | **HOLD** | Horizon: 1-YEAR

Citigroup at \$133.38 is just \$1.77 below its 52-week high of \$135.15 and has gained +75.96% over the past year, outperforming most NDX names during the current tech rout with a positive +2.66% week; the bank benefits from a higher-for-longer rate environment boosting net interest income, but at near 52-week highs and with macro uncertainty from Iran/inflation elevated, the risk/reward for new buyers is balanced. HOLD existing positions and reassess after the FOMC June 17 decision.

MSFT | Price: \$397.36 | **SELL** | Horizon: EXIT NOW

Microsoft is the only stock in our watchlist with a negative 1-year return (-13.99%), trading at \$397.36 versus a 52-week high of \$542.07 — a -27% drawdown — suggesting persistent institutional selling pressure as AI monetisation timelines disappoint relative to its valuation premium; with beta 0.87 providing little upside capture in a recovery and weak 1-month momentum (-3.71%), capital is better deployed in names with stronger AI catalysts and positive earnings revision trajectories. EXIT and rotate proceeds into GOOGL or ANET on their respective pullbacks.

ANET | Price: \$151.76 | **BUY** | Horizon: 5-YEAR

Arista Networks at \$151.76 has pulled back -12.97% this week despite Morningstar flagging it as undervalued and a leader in high-speed AI data centre switching — a structural multi-year growth market; the stock is +69.04% over 1 year and sits well above its 52-week low of \$86.25, with the current dip offering a better entry than the \$177.73 highs. BUY in tranches on further weakness, targeting \$175+ over 12-18 months as AI infrastructure capex remains elevated.

AVGO | Price: \$372.1 | **HOLD** | Horizon: 1-YEAR

Broadcom at \$372.10 is down -22.35% this week and -13.15% this month following disappointment in its AI chip forward guidance, but remains +49.61% over 1 year with custom-ASIC hyperscaler design wins that are expected to hit revenue in H2 2026 and 2027; the high beta of 2.10 amplifies both downside and upside, making a BUY premature until the Iran/CPI macro headwinds subside and the stock stabilises above \$360. HOLD with a tight stop at \$340 (10% below current levels).

SECTION 8 — Market Trends

Today's action reveals a market caught between two powerful cross-currents: exceptional AI earnings fundamentals and a macro environment (Iran oil shock, sticky CPI at 3-year highs, 10Y yield at 4.53%) that is systematically compressing the valuations of the high-multiple tech names that dominate the NDX. The rotation into Consumer Staples (+1.65%) and Energy (+1.50%) while Materials (-2.30%) and Industrials (-3.38%) lag — even as oil rises — suggests investors are prioritising defensive yield over cyclical leverage, a pattern consistent with late-cycle repositioning ahead of a pivotal FOMC meeting. Breadth of only 4/11 sectors positive is a yellow flag, but the VIX at 19.87 (well below the 52-week high of 31.05) indicates institutional participants are hedging rather than panicking.

Upside Risks

- A ceasefire or meaningful US-Iran diplomatic de-escalation could reverse the oil spike from ~\$92/barrel WTI, relieving energy-driven CPI pressure and enabling the Fed to signal a more accommodative path at the June 16-17 FOMC — catalysing a sharp NDX recovery from oversold levels.
- Micron's June 24 earnings could deliver another record quarter (consensus Q3 EPS: \$19.63) confirming the AI memory supercycle is intact, triggering a re-rating across the entire semiconductor complex that has been aggressively sold down this week.
- Adobe's Q2 FY2026 results released after today's close could beat the \$5.83 consensus EPS estimate and provide an upside guide that reverses the AI-disruption narrative for software stocks, with the stock having already rallied ~8% in early June from deeply oversold levels.

Downside Risks

- Escalating US-Iran strikes — with WTI already at \$92.45/barrel — could push oil above \$100/barrel, reigniting CPI and forcing the Fed to consider rate hikes rather than cuts at its June 16-17 meeting, which would be a severe shock to equity valuations across all sectors.
- Market breadth is critically narrow with only 4/11 S&P sectors advancing and Goldman Sachs' proprietary Risk Appetite Indicator at the 99th percentile of all observations since 1991, meaning even a modest disappointment in AI earnings or macro data could trigger a cascade of forced de-grossing by leveraged long/short funds.
- The NDX (QQQ) is now -6.79% on the week and with the FOMC meeting June 16-17 likely to deliver a hawkish hold at 4.53% 10Y yields, a further technical break below the QQQ 50-day moving average could accelerate algo-driven selling into an already fragile tape.

SECTION 9 — Portfolio Allocation (5-8 Year Horizon)

The current environment — VIX at 19.87 (calm but rising), breadth RED with only 4/11 sectors positive, 10Y yield AMBER at 4.53%, and geopolitical escalation driving energy inflation — calls for a growth-tilted but increasingly defensive allocation that protects capital as retirement approaches in 5-8 years; the strong AI earnings backdrop (Micron +196% YoY revenue, Alphabet +110% 1-year) justifies retaining equity exposure, but the macro regime shift from 'easy money' to 'higher-for-longer' demands meaningful fixed income and real-asset buffers to manage sequence-of-returns risk.

Bucket	Allocation %	Purpose
Core US Equity Growth (Large-Cap Quality / AI Leaders)	30%	Capture long-term AI compounding via lower-beta quality names (GOOGL, IBM, ANET); avoid hyper-cyclical semis (AMD, AVGO) at this stage of the cycle; use NDX pullbacks to add selectively
US Dividend & Defensive Equity	15%	Consumer Staples, Energy, and Healthcare ETFs providing income and downside buffer; Consumer Staples up +1.65% today while tech fell — this bucket acts as portfolio insurance during geopolitical risk-off episodes
Investment-Grade & Short-Duration Bonds	20%	Short-to-intermediate Treasuries and IG corporates (2-7 year duration) to avoid long-duration rate risk with 10Y at 4.53%; provides income at attractive real yields not seen since 2007, while insulating against further Fed hawkishness
Treasury Inflation-Protected Securities (TIPS)	10%	Direct hedge against the Iran-driven energy inflation shock; TIPS adjust principal with CPI, protecting purchasing power if oil stays elevated above \$90/barrel through H2 2026
	10%	

International Developed Market Equity		Diversification away from concentrated US tech risk; ECB rate decision today (June 11) and European fiscal stimulus provide a differentiated return driver; reduces correlation to NDX drawdowns
Real Assets & Energy Commodities	8%	Direct exposure to oil/energy infrastructure as a geopolitical hedge; Fidelity's mid-year 2026 outlook specifically flags energy as suitable for investors who believe the market is underestimating the Iran oil risk
Cash & Money Market Reserves	7%	Dry powder to deploy opportunistically if VIX spikes above 25 (e.g., on FOMC hawkish surprise or Iran escalation); also covers 6-12 months of living expenses to eliminate sequence-of-returns risk as retirement approaches

Rebalance Trigger: Initiate rebalancing if any of the following occur: (1) VIX closes above 25 for 3 consecutive days — shift 5% from Core US Equity Growth into Cash/Bonds; (2) 10Y Treasury yield rises above 5.0% — extend short-duration bond bucket at the expense of growth equity; (3) QQQ drops more than 15% from current levels (\$693.69) to below ~\$590 — redeploy cash bucket into Core US Equity Growth to dollar-cost average; (4) WTI crude exceeds \$105/barrel for 5 consecutive days — increase Real Assets bucket by 3% funded from International Equity.